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China Economics | Asia Pacific

Lujiazui Takeaways: Better Rate Transmission, Gradual Capital Account Opening

Key Takeaways

- At the Lujiazui Forum today, PBoC announced to narrow O/N reverse repo corridor to 7-day reverse repo rate +/- 25bps (vs. +50/-20 before).
- We view this as directionally positive for policy transmission, but not a sign of policy rate cuts, given PBoC's concerns on banks interest margin pressures.
- On RMB internationalization, it pledged an offshore RMB repo facility, pilot offshore RMB FX trading in the Shanghai FTZ, and support offshore finance.
- SAFE also disclosed plans to issue a new batch of QDII quotas, improve FDI rules, and optimize foreign exchange loan and cross-border equity incentive systems.
- Today's policy comments could ease concerns over a U-turn on capital account opening, but the asymmetric approach will likely be maintained.

Better interest rate transmission, not rate cut signals: In our view, the rate corridor reform is directionally positive for policy transmission and should make short-end liquidity management more rules-based and transparent. That said, we maintain our view that cuts in broad policy rates remain impossible in 2H26 and 2027, given heightened pressures on bank net interest margins.

Capital account opening: No U turn, but tighter regulation on illegal outbound channels: We [view](#) recent regulations on outbound investment as efforts to redirect capital flows toward regulated, controllable routes, rather than means to stop "capital flight". Beijing's pledge on continued capital account opening today may ease market concerns, with plans to improve offshore RMB liquidity management and expand ODII quotas.

That said, China's capital account liberalization is set to be gradual and asymmetric: Under the "impossible trinity", Beijing's preference over monetary policy independence and RMB stability means that capital-account opening and RMB internationalization would be calibrated and orderly. The asymmetric approach will thus be maintained – more liberalization for trade, FDI, institutional flows; tight on retail outflows, portfolio flows and short-term capital.

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